

use of this concept is valuable for building portfolios because it helps to visualize how some groups of assets won't provide enough return for the risk taken.

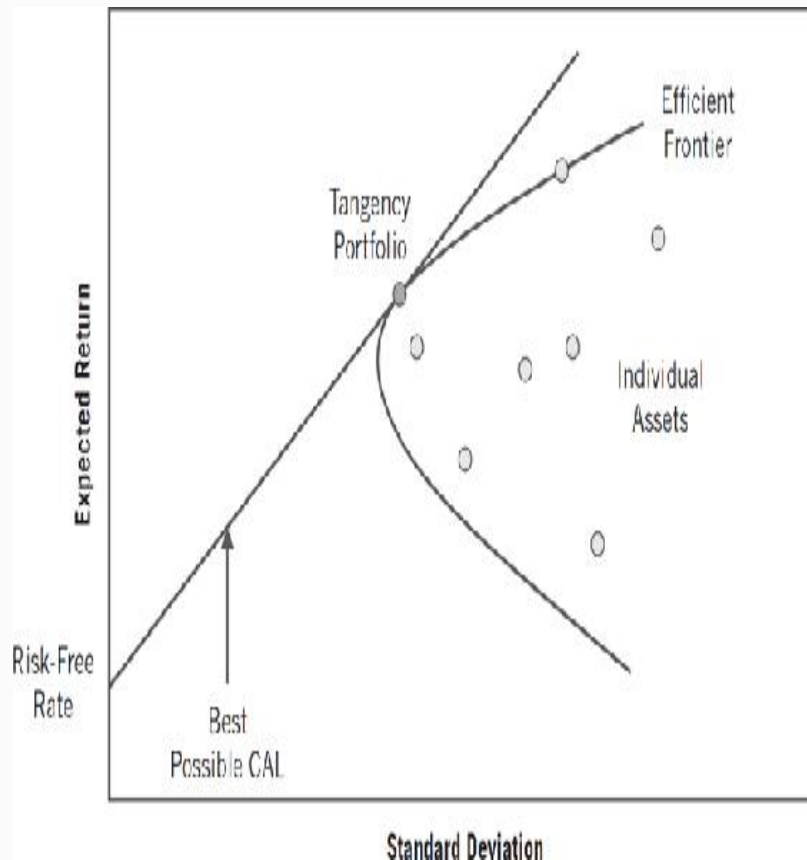


Figure 6.2 ■ The efficient frontier of modern portfolio theory

Source:

<https://www.ways2wealth.com/Portals/0/Images/Efficient%20Frontier.jpg?ver=2016-03-14-220603-923>

Within the financial services industry, people talk about risk in two ways: systematic and unsystematic. *Systematic risk* is the risk inherent to investing in assets subject to the effects of macroeconomic events—like global gross domestic product (GDP) growth, trade relations, warfare, and so on. It is also